

Government of India - National Statistical Office (NSO)

Compilation Guidelines for Gross Value Added (GVA) & GDP (Base Year 2011-12)

Official Technical Circular MoSPI/NAD/2024-GDP-01 | Target Cadre: Economic Statisticians

1. Gross Value Added (GVA) at Basic Prices Accounting Identity

Gross Value Added (GVA) at basic prices is defined strictly as Gross Output minus Intermediate Consumption.

Basic Price represents the amount receivable by the producer excluding taxes on products, plus subsidies.

GDP at Market Prices is derived as: $GDP = GVA \text{ at basic prices} + \text{Product Taxes} - \text{Product Subsidies}$.

2. Double Deflation & Constant Price Estimation

Real GVA measurement requires double deflation: gross output and intermediate inputs deflated independently.

Wholesale Price Index (WPI) and Consumer Price Index (CPI) components serve as price deflators.

Single indicators or single extrapolation can introduce substantial systematic bias during price shocks.

3. Supply and Use Tables (SUT) Reconciliation

Balancing product supply (domestic output + imports) against total uses (intermediate + final demand).

Statistical discrepancies between production and expenditure approaches must not exceed +/- 1.5%.